

Leading Index holds slightly above trend for now

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The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, held at +0.08% in February, unchanged from January but down from more firmly positive reads seen late last year.



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- Leading Index growth rate unchanged at +0.08% in February.
- Softer financial components offset by higher commodity prices, hours worked.
- Rate hikes, Middle East conflict starting to impact but likely more to come.

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Momentum remains a touch above average in early 2026 but is likely to drop in coming months as the RBA's latest interest rate hike impacts and we start to see the fuller effects from conflict in Middle East. Westpac expects the combination to see Australia's GDP growth slow to 2% this year, a material weakening on last year's 2.5% pace and one that we see as below trend for Australia. While there are some hints of this in the February Leading Index read, these signals should become much clearer as we move into March and April.

The Leading Index growth rate has moderated slightly from +0.13% in September to a +0.08% in February. The main drivers have been developments in financial markets. A cooling sharemarket has seen the contribution from the S&P/ASX200 component shift from +0.19ppts to flat with current readings suggesting this will become an outright drag on the Index growth rate next month.

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